

US ECONOMICS ANALYST

A Q&A on Our Economic Forecasts Amid the Evolving War with Iran

- Following the announcement of a two-week ceasefire between the US and Iran last week, our oil strategists have largely maintained their baseline forecasts, which had assumed a six-week disruption of oil flows through the Strait of Hormuz. But oil flows remained depressed last week despite the ceasefire, negotiations between the US and Iran over the weekend did not produce an agreement, and President Trump has announced a US blockade of the Strait. As a result, we continue to see the risks as tilted toward a higher path for oil prices.
- This week we take stock of where our economic forecasts stand and what we've learned so far.
- We have raised our December 2026 year-over-year headline PCE inflation forecast by 1pp to 3.1% and our core PCE inflation forecast by 0.3pp to 2.5% since the war began. Our analysis suggests that the impact of the war on core inflation should come mostly from energy cost passthrough, which is likely to have a large and fairly immediate effect on airfares but a more gradual impact elsewhere. Additional passthrough to consumer prices from the impact of non-energy Gulf commodity exports, including via higher food prices, should make a further modest contribution. Supply chain disruptions and shortages would be an additional upside risk if trade is disrupted for longer, but so far reported delays are minor compared to pandemic disruptions.
- We have lowered our 2026 Q4/Q4 GDP growth forecast by 0.5pp to 2.0% (or 2.3% on a full-year basis) since the war began. The downgrade mainly reflects the hit from higher oil prices to real income and consumer spending. Alternative data already show a large increase in spending on gasoline, which is likely to weigh on spending on cars and discretionary services. The additional drag from tighter financial conditions now looks more modest—our FCI had tightened by 75bp at its peak but has now tightened by 25bp on net, closer to the limited moves in prior recent wars. We do not expect much of an offsetting boost to GDP growth from increased investment by domestic energy producers, who are deterred by the volatility and uncertainty of oil prices, the market's expectation that prices will fall, and the 6-12 month lag before production begins.
- Weaker activity growth is likely to translate to weaker hiring and a higher unemployment rate, which we now expect to reach 4.6% later this year, versus our pre-war forecast of stabilization. Past oil shocks have tended to reduce employment the most in discretionary spending sectors like leisure and

Jessica Rindels
+1(972)368-1516 |
jessica.rindels@gs.com
Goldman Sachs & Co. LLC

David Mericle
+1(212)357-2619 |
david.mericle@gs.com
Goldman Sachs & Co. LLC

hospitality, where demand is most sensitive to the hit to disposable income.

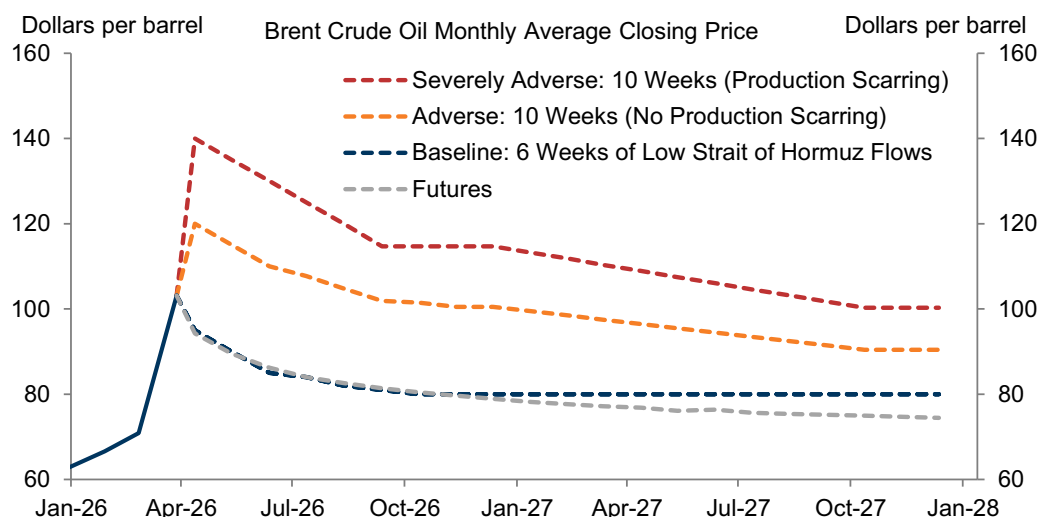
- The spike in oil prices, increased uncertainty about the outlook, and the strong February employment report have kept the Fed firmly in wait-and-see mode for now. We expect a combination of rising unemployment and limited progress on inflation—where tariff effects dropping out should outweigh incoming energy passthrough—will make the case for two cuts in September and December. Our probability-weighted Fed forecast is considerably more dovish than market pricing, in part because we think rate hikes are quite unlikely in an environment where an oil price spike is much less likely to spark sustained high inflation than in 2022.

A Q&A on Our Economic Forecasts Amid the Evolving War with Iran

Following the announcement of a two-week ceasefire between the US and Iran last week, our oil strategists have largely maintained their baseline forecast, which had assumed a six-week disruption of oil flows through the Strait of Hormuz followed by a gradual one-month recovery. They made a small reduction to their baseline Brent oil forecast for 2026Q2 but kept their forecast for 2026Q4 at \$80/bbl.

But oil flows remained depressed last week despite the ceasefire, and negotiations between the US and Iran have ended without an agreement. As a result, we continue to see the risks as tilted toward a longer disruption of Gulf exports and a higher path for oil prices. If the ceasefire does not hold and the reopening of the Strait is postponed for another month, we would expect Brent to remain at \$100/bbl in 2026Q4 in an adverse scenario or \$115 in a severely adverse scenario where later reopening is followed by persistent 2mb/d Mideast production losses (the orange and red lines in Exhibit 1, respectively).

Exhibit 1: Our Oil Strategists Continue to Expect Brent Oil Prices to Peak in April and Fall to \$80 by 2026Q4, but with Oil Exports Through the Strait of Hormuz Still Disrupted, the Risks Are Tilted Higher



Source: Goldman Sachs Global Investment Research

We take stock of where our economic forecasts stand and what we've learned so far in Q&A format.

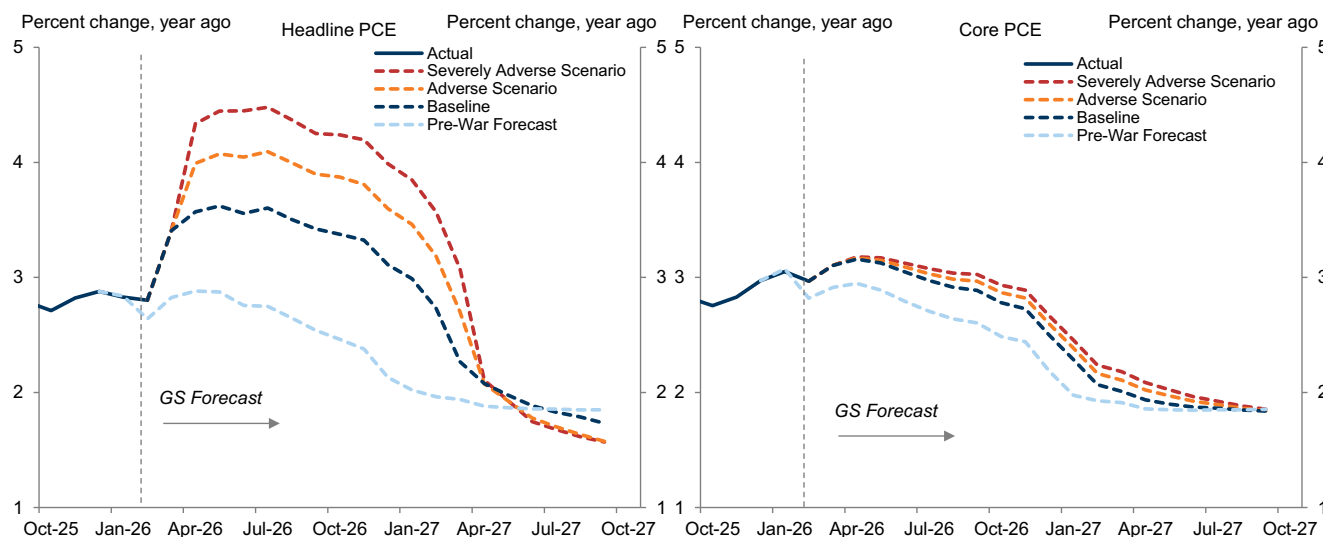
Impact on Inflation

Q: How much have you raised your inflation forecasts since the war began?

A: We have raised our December 2026 year-over-year headline PCE inflation forecast by 1pp to 3.1%. We expect that another high print in April—reflecting further increases in retail gasoline prices, which are currently 12% above the March average—will push the year-over-year rate to 3.6%, where it would peak this year in our baseline scenario. We have raised our December core PCE inflation forecast by a more modest 0.3pp to 2.5% since the war began but expect it to remain in a higher 2.7–3.1% range through November. We see the risks as tilted higher, with our adverse and severely adverse

scenarios for oil prices now implying a year-end rate of around 4% for headline and nearly 2¾% for core.

Exhibit 2: We Have Raised Our December 2026 Year-over-Year Headline PCE Inflation Forecast by 1pp to 3.1% and Our Core PCE Inflation Forecast by 0.3pp to 2.5%, Though the Risks to Both Skew Higher



Note: Baseline assumes oil prices average \$95 in April and \$90 in May before declining to \$80 by 2026Q4. Adverse scenario assumes oil prices average \$120 in April and \$115 in May before declining to \$100 by 2026Q4. Severely adverse scenario assumes oil prices average \$140 in April and \$135 in May before declining to \$115 by 2026Q4.

Source: Goldman Sachs Global Investment Research

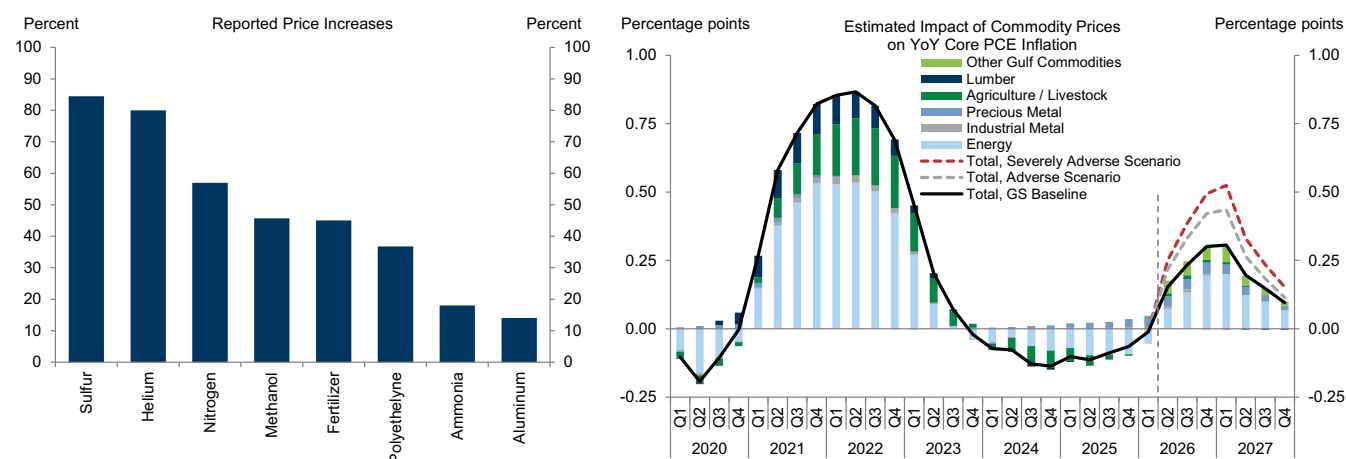
Q: Will the war have meaningful effects on core inflation through channels other than oil passthrough?

A: Our analysis suggests that the impact of the war on core inflation should come mostly from energy cost passthrough. This should have a clear and immediate impact on airfares, which rose 2.7% in the March CPI and should, online price data suggest, increase further in April on the back of an 83% increase in US jet fuel prices since February. Energy passthrough is likely to be more gradual in other categories and harder to tell apart from normal monthly volatility.

We have expanded our commodity price passthrough model to also account for the impact of non-energy Gulf commodity exports (Exhibit 3). As the left side of Exhibit 3 shows, the war has substantially raised prices of non-energy commodities such as nitrogen fertilizer, which we estimate will boost food prices by about 1.5% this year, which should in turn raise restaurant prices in core PCE.¹ But we estimate that these and other effects are only worth about 0.1pp on core PCE inflation, versus a 0.2pp boost from energy. We also expect some spillover effect on goods import prices from the large increases in natural gas prices and production costs abroad, though this should be partly offset by weaker global demand.

¹ Restaurant prices are excluded from core CPI but included in core PCE.

Exhibit 3: The Impact of the War on Core Inflation Should Come Mostly from Energy Cost Passthrough, with a Modest Additional Impact from Higher Prices of Food and Non-Energy Gulf Commodity Exports

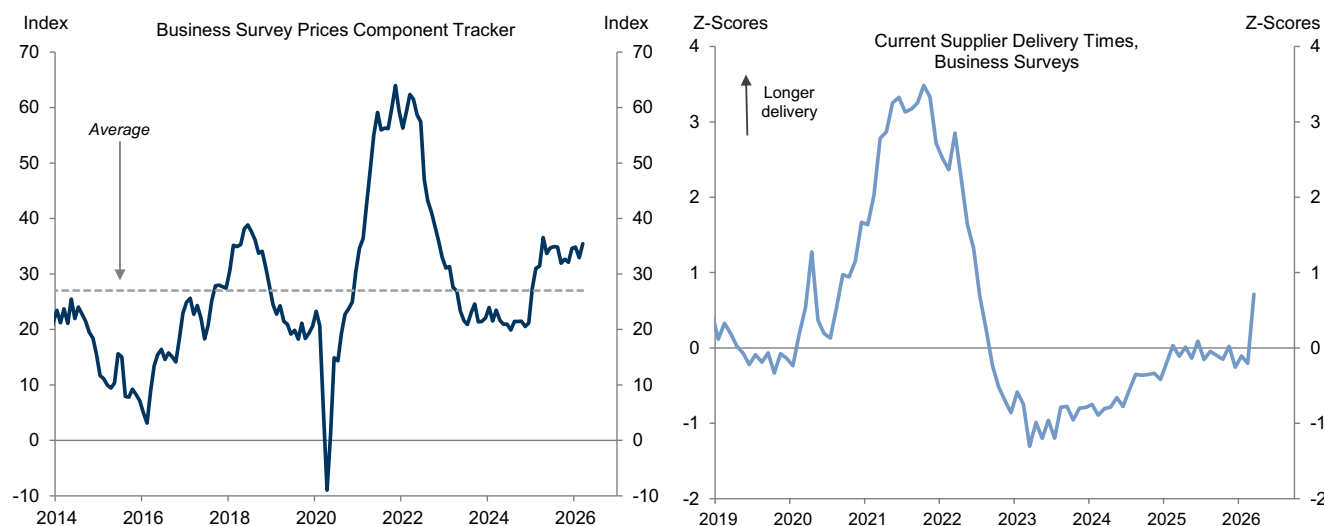


Source: Goldman Sachs Global Investment Research, Data compiled by Goldman Sachs Global Investment Research

Q: Have we seen a broader shift in pricing behavior or supply chain disruptions of the sort seen in 2022?

A: If trade is disrupted for a longer period, supply chain disruptions and shortages and possible contagion of abnormal price increases of the sort seen during the pandemic would be key additional upside risks. It is still early, but so far the price components of business surveys have risen only modestly on average through March (left panel of Exhibit 4), and while supplier delivery times jumped in March, reported delays remain minor compared to pandemic disruptions (right panel of Exhibit 4).

Exhibit 4: The Price Components of Business Surveys Rose Only Modestly On Average in March; Supplier Delivery Times Increased Notably in March, but Delays Remain Minor Compared to Pandemic Disruptions



Source: Goldman Sachs Global Investment Research, Federal Reserve, Institute for Supply Management

Impact on GDP

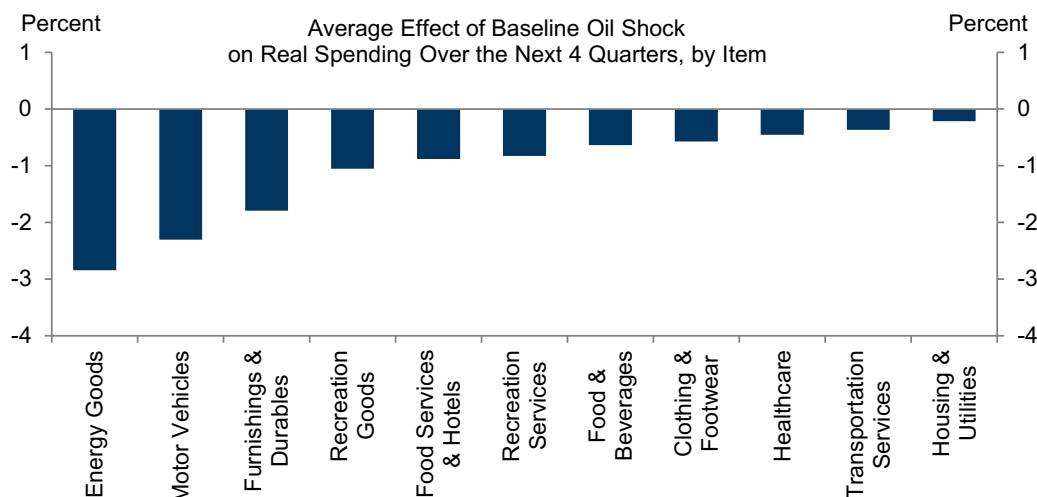
Q: How will the war affect US GDP?

A: Oil shocks can potentially affect US GDP through three major channels: a hit to consumer spending, a tightening in financial conditions, and a boost to domestic shale

investment.

Alternative spending data already indicate a large increase in spending on gasoline since the start of the war. The hit to real disposable income from higher gas prices tends to weigh in particular on spending on cars and discretionary goods and services (Exhibit 5). We expect most of the impact of the war on GDP to come through consumer spending, and we have lowered our consumption growth forecast for 2026 Q4/Q4 from just over 2% before the war to 1.2%.

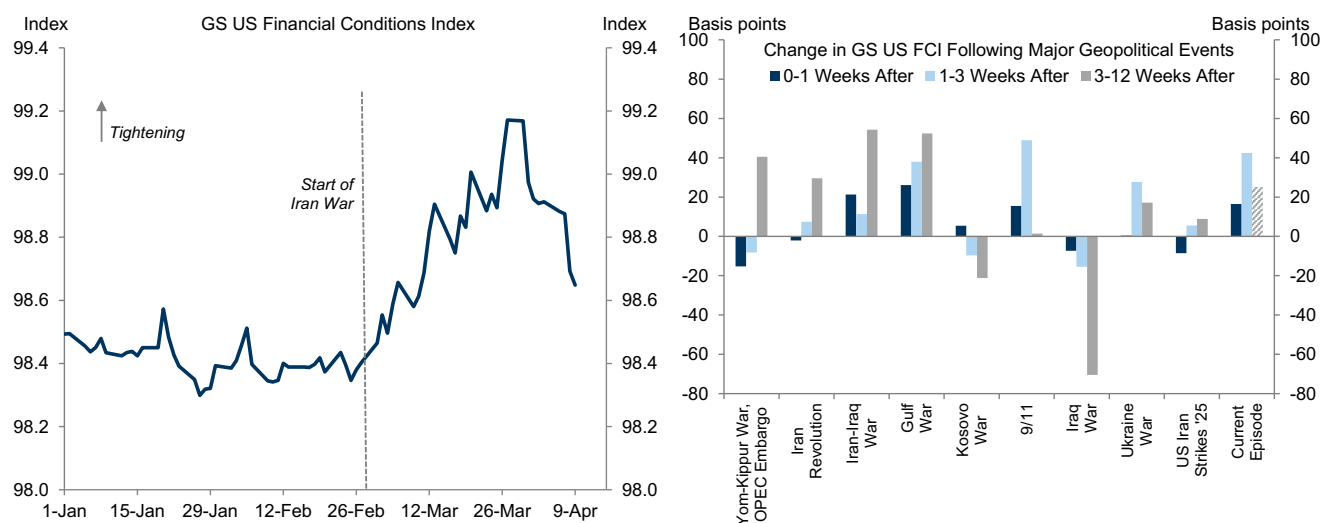
Exhibit 5: Increased Spending on Gasoline Is Likely to Weigh on Real Consumer Spending on Autos and on Discretionary Goods and Services



Source: Goldman Sachs Global Investment Research

The additional drag on growth from tighter financial conditions now looks more modest. Our financial conditions index had tightened by 75bp at its peak, driven by a sell-off in equities, a rise in interest rates, and dollar depreciation, but has now tightened by only 25bp on net (Exhibit 6, left). This is closer to the more limited moves in financial conditions in prior recent wars (Exhibit 6, right).

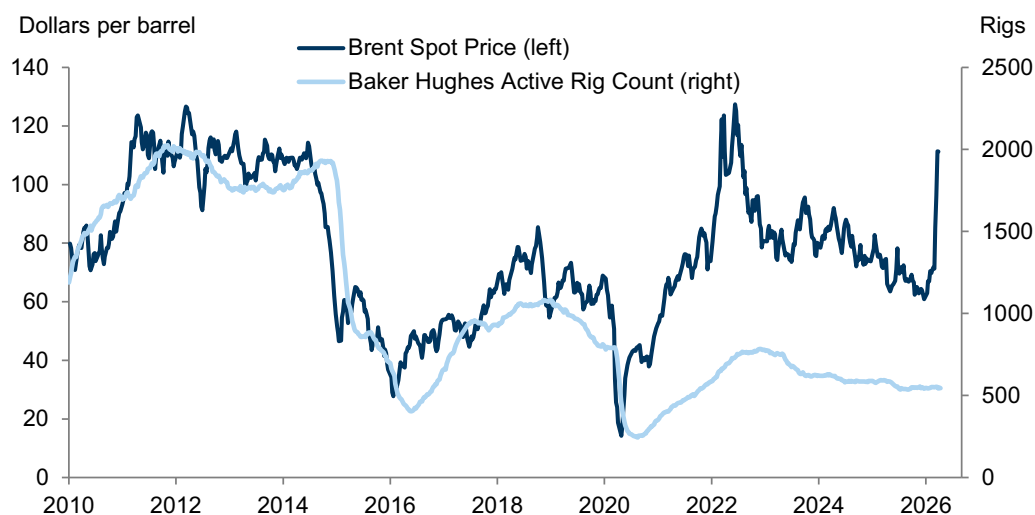
Exhibit 6: Our Financial Conditions Index Tightened by 75bp at Its Peak but Has Now Tightened by Only 25bp on Net Following the Ceasefire, a Limited Impact Similar to That Seen in Other Recent Wars



Source: Goldman Sachs Global Investment Research

A meaningful offset to the growth hits above from higher domestic energy investment now looks unlikely. Domestic producers have become more cautious this cycle about raising investment when oil prices rise, and companies have expressed particular reluctance recently because of uncertainty about the war, the volatility of prices, the market's expectation that oil prices will fall implied by the oil futures curve, and the 6-12 month lag before investment would yield additional output. And unlike in 2022, there are very few wells that have been drilled but not yet completed today. The situation could change, our oil equity analysts think, if the 2027-2028 crude oil futures curve shifted higher, indicating that prices are likely to stay high for long enough to justify the investment.

Exhibit 7: Domestic Energy Producers Have Become More Cautious This Cycle About Raising Investment When Oil Prices Rise and Appear Reluctant to Boost Investment in Response to the Latest Oil Price Spike

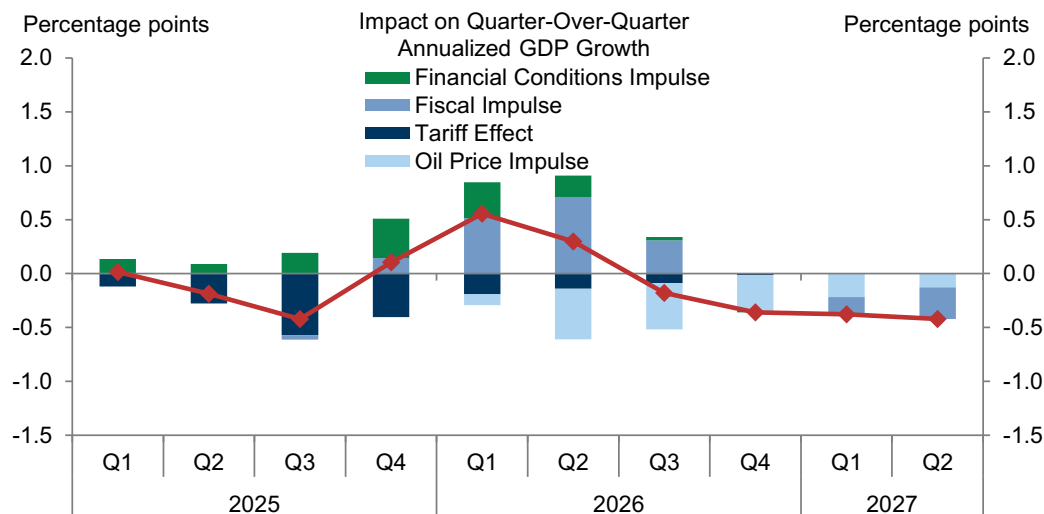


Source: Goldman Sachs Global Investment Research, EIA, Baker Hughes

Q: How much has your GDP growth forecast changed in total?

A: Coming into the year, we expected the transition from tariff drag in 2025 to a tax cut boost in 2026 to generate above-potential GDP growth this year. But as Exhibit 8 shows, we now expect the drag on growth from higher oil prices to roughly offset the boost to growth from the 2025 fiscal bill.

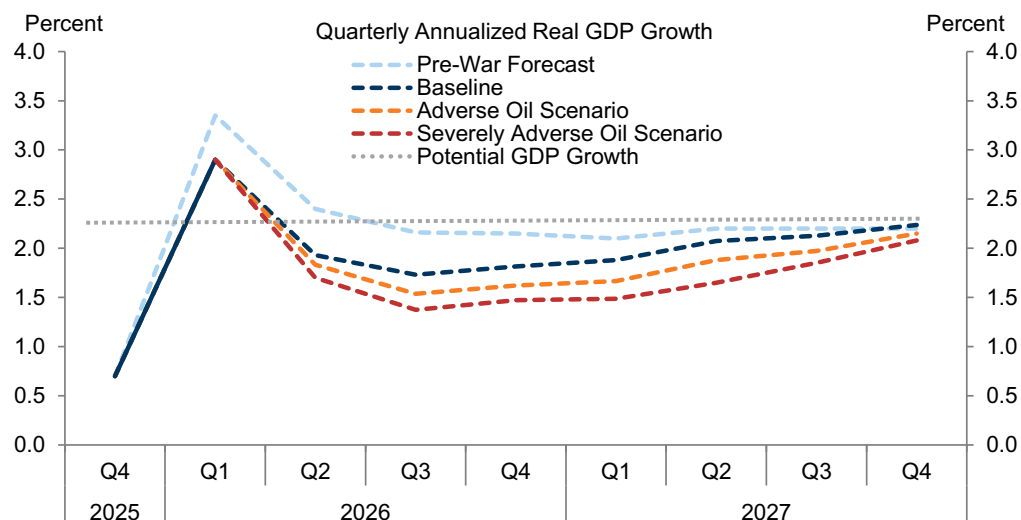
Exhibit 8: The Boost to Growth from Tax Cuts Will Be Roughly Offset by the Drag from Higher Oil Prices



Source: Goldman Sachs Global Investment Research

Reflecting both the impact of higher oil prices and incoming Q1 GDP tracking data, we have lowered our 2026 Q4/Q4 GDP growth forecast by 0.5pp to 2.0% (or 2.3% on a full-year basis) since the war began. For upcoming quarters, our baseline forecast is about ½pp below our estimate of potential growth, and in our adverse or severely adverse scenarios, GDP growth would be ¾-1pp below potential.

Exhibit 9: We Have Lowered Our 2026 Q4/Q4 GDP Growth Forecast by 0.5pp to 2.0% to Reflect Higher Oil Prices and Incoming Q1 Tracking Data, and We See the Risks as Tilted Toward a Larger Hit to Growth



Note: Baseline assumes oil prices average \$95 in April and \$90 in May before declining to \$80 by 2026Q4. Adverse scenario assumes oil prices average \$120 in April and \$115 in May before declining to \$100 by 2026Q4. Severely adverse scenario assumes oil prices average \$140 in April and \$135 in May before declining to \$115 by 2026Q4.

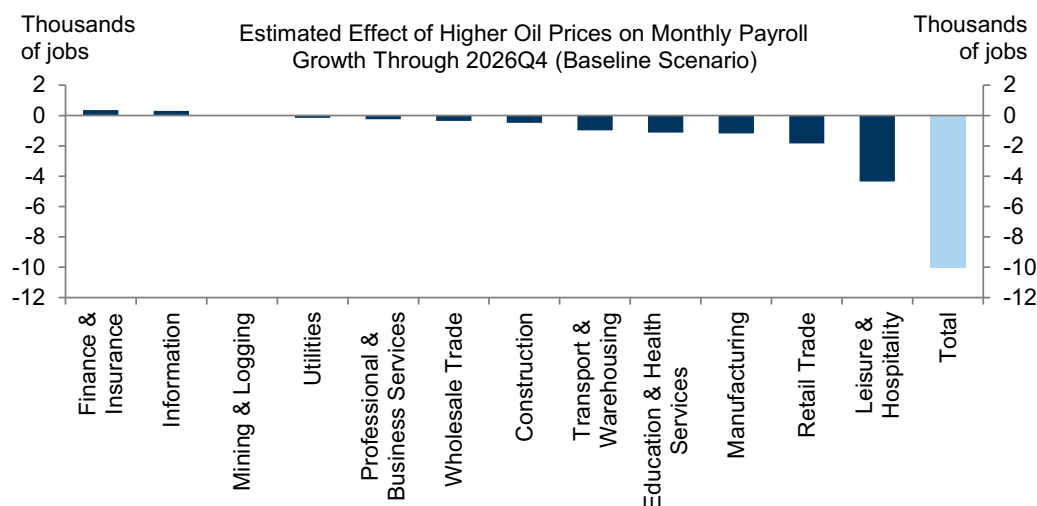
Source: Goldman Sachs Global Investment Research

Impact on the Labor Market

Q: How do you expect the oil price shock to affect the labor market?

A: Past oil shocks have tended to reduce employment the most in discretionary spending sectors like leisure and hospitality, where demand is most sensitive to the hit to disposable income. And because our oil equity analysts do not expect a meaningful increase in energy investment, energy and energy-support industries such as construction and oil machinery manufacturing are unlikely to see much of an increase in hiring this time, implying a somewhat larger net hit to employment.

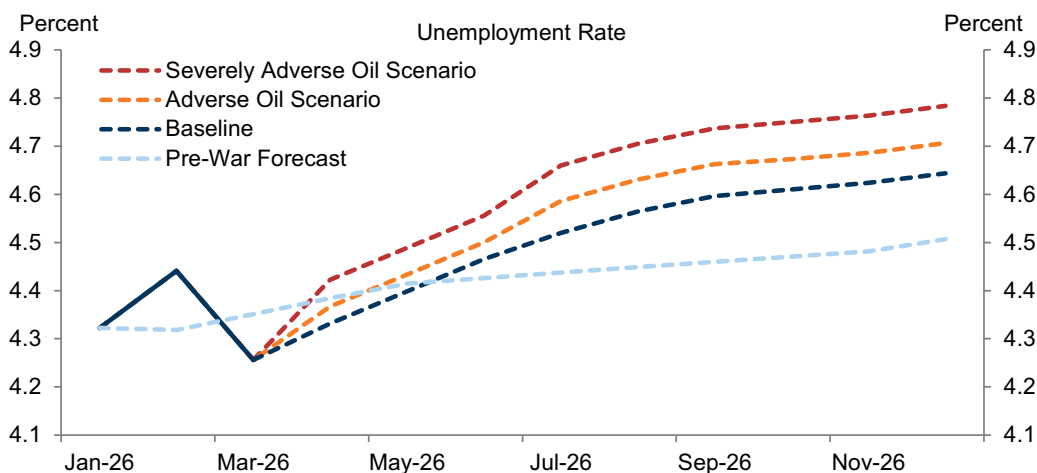
Exhibit 10: Past Oil Price Increases Have Tended to Weigh on Employment in Discretionary Spending Sectors Like Leisure and Hospitality Where Demand Is Most Sensitive to the Hit to Disposable Income



Source: Goldman Sachs Global Investment Research

Lower hiring due to weaker final demand growth and a desire to offset increased spending on energy costs is likely to contribute to further increases in the unemployment rate. We now expect the unemployment rate to rise from its 4.3% rate in March to 4.6% later this year in our baseline forecast or a bit higher in our adverse and severely adverse alternative scenarios.

Exhibit 11: We Expect the Unemployment Rate to Reach 4.6% Later This Year Under Our Baseline Forecast



Note: Unemployment implied by GDP effects using Okun's law. Baseline assumes oil prices average \$95 in April and \$90 in May before declining to \$80 by 2026Q4. Adverse scenario assumes oil prices average \$120 in April and \$115 in May before declining to \$100 by 2026Q4. Severely adverse scenario assumes oil prices average \$140 in April and \$135 in May before declining to \$115 by 2026Q4.

Source: Goldman Sachs Global Investment Research

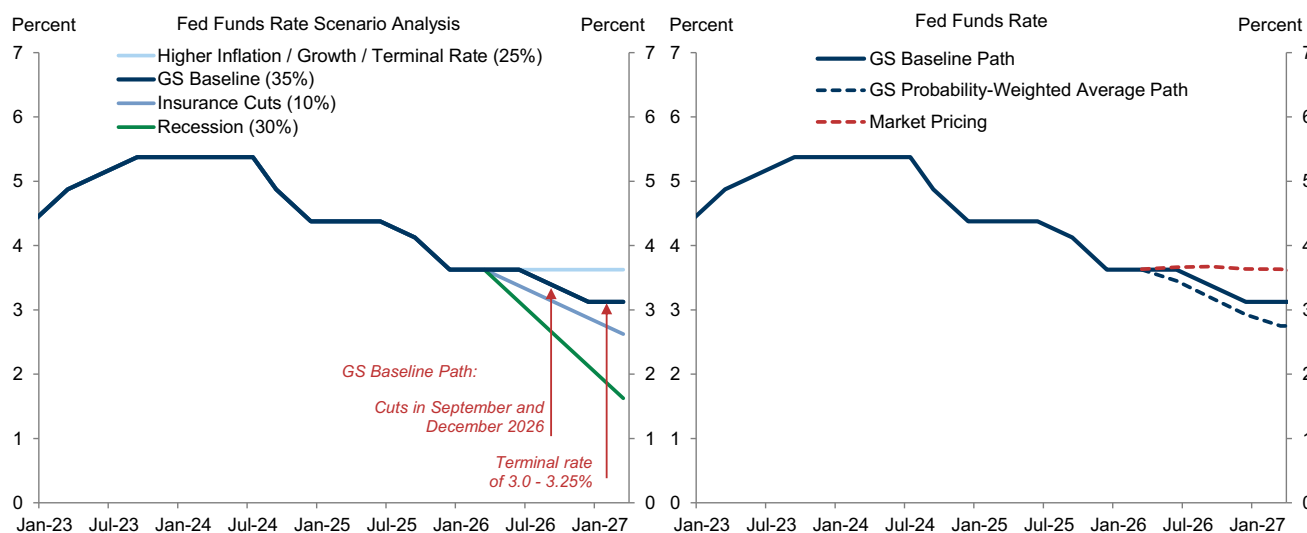
Impact on the Fed

Q: How do the war, the ceasefire, and the oil shock affect your expectations for the Fed?

A: Recent comments from Fed officials have made it clear that the spike in oil prices, increased uncertainty about the outlook, and the strong February employment report will keep the Fed firmly in wait-and-see mode for now.

We expect a combination of rising unemployment and modest further progress on core inflation—where tariff effects dropping out of the year-on-year calculation should outweigh incoming energy passthrough—to make a compelling case for 25bp rate cuts in September and December. That said, we would not be surprised if some FOMC participants disagreed in that scenario and judged inflation still too high to cut, and it is hard to be certain about what the Committee would decide to do, especially in light of the leadership transition at the Fed and the potential departure of Chair Powell.

Exhibit 12: We Expect Two Rate Cuts in September and December This Year, and Our Probability-Weighted Fed Forecast Remains Considerably More Dovish Than Market Pricing



Source: Goldman Sachs Global Investment Research

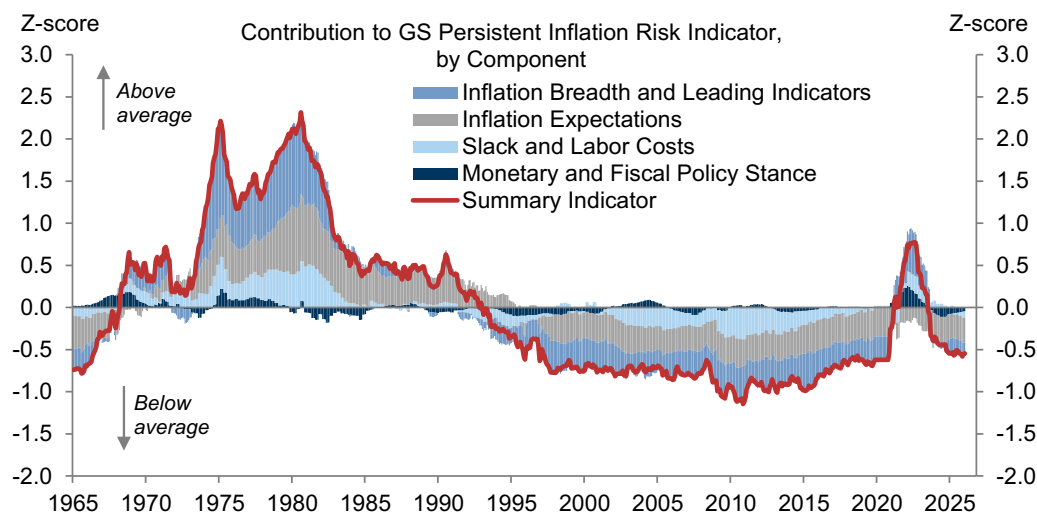
Q: If the oil shock grows even larger, what would it take for the Fed to hike?

A: Our probability-weighted Fed forecast, shown on the right of Exhibit 12, is considerably more dovish than market pricing both because our baseline includes rate cuts and because we think that rate hikes are quite unlikely for several reasons. First, the current supply shock is smaller and narrower than prior shocks that caused inflation problems, including the commodity price boom and supply-chain disruptions of 2021-2022. Second, the oil spike is less likely to spark persistently high inflation from a starting point where the labor market is in a more normal balance and wage growth is below the pace consistent with 2% inflation, a significant contrast with the historically tight labor market of 2022. Third, the funds rate is already 50-75bp above the FOMC's median estimate of neutral. Fourth, the Fed has historically tended not to hike in response to oil shocks that are unlikely to spark sustained high inflation.

What would it take to hike? The FOMC would need to worry that high inflation is likely to be sustained beyond the one-time impact of higher oil prices. This would likely mean minimal damage to economic activity; a rise in wage growth above the 4% pace compatible with 2% inflation, because a wage-price feedback loop would be an essential ingredient of sustained high inflation; a broadening out of price pressures beyond energy-sensitive categories, signaling that larger price increases were becoming

normalized; and increases in market inflation compensation beyond the next year and in long-term inflation expectations in consumer surveys. We have developed a composite indicator of these forces to track the risk of persistently high inflation, shown in Exhibit 13, and it remains subdued so far.

Exhibit 13: We See Rate Hikes as Much Less Likely Than Market Pricing Implies Because the Oil Price Spike Is Unlikely to Spark Sustained High Inflation with the Labor Market Much Less Tight Than It Was in 2022



Source: Goldman Sachs Global Investment Research

Jessica Rindels

David Mericle

The US Economic and Financial Outlook

THE US ECONOMIC AND FINANCIAL OUTLOOK

(% change on previous period, annualized, except where noted)

	2023	2024	2025	2026	2027	2025 Q1	2025 Q2	2025 Q3	2025 Q4	2026 Q1	2026 Q2	2026 Q3	2026 Q4
OUTPUT AND SPENDING													
Real GDP	2.9	2.8	2.1	2.3	2.0	-0.6	3.8	4.4	0.7	2.8	1.8	1.7	1.7
Real GDP (annual=Q4/Q4, quarterly=yoy)	3.4	2.4	2.0	2.0	2.2	2.0	2.1	2.3	2.0	2.9	2.4	1.7	2.0
Consumer Expenditures	2.6	2.9	2.6	1.6	1.8	0.6	2.5	3.5	2.0	0.6	1.2	1.4	1.5
Residential Fixed Investment	-7.8	3.2	-2.1	-1.9	1.9	-1.0	-5.1	-7.1	-0.6	-4.4	1.5	1.5	1.5
Business Fixed Investment	7.3	2.9	4.1	5.2	4.7	9.5	7.3	3.2	2.3	8.3	5.4	5.1	4.2
Structures	16.7	1.1	-5.3	-0.9	3.8	-3.1	-7.5	-5.0	-7.1	0.4	4.0	4.0	4.0
Equipment	2.9	3.5	8.3	7.9	5.1	21.3	8.5	5.2	3.9	15.1	6.5	6.0	4.5
Intellectual Property Products	6.2	3.5	5.7	5.9	4.8	6.5	15.0	5.6	5.6	6.0	5.0	4.8	4.0
Federal Government	3.3	3.8	-1.2	1.8	0.9	-5.6	-5.3	2.7	-16.7	22.5	0.0	1.0	1.0
State & Local Government	3.6	3.8	2.5	0.9	0.9	1.9	3.1	2.0	1.2	0.3	0.3	0.5	1.0
Net Exports (\$bn, '17)	-925	-1,033	-1,091	-1,017	-1,076	-1,381	-1,058	-956	-968	-992	-1,013	-1,024	-1,039
Inventory Investment (\$bn, '17)	47	44	31	21	41	172	-18	-24	-8	2	25	25	30
Nominal GDP	6.7	5.3	5.0	6.0	4.2	2.9	6.0	8.3	4.5	6.8	6.7	4.3	3.7
Industrial Production, Mfg.	-1.0	-1.0	0.9	2.6	3.2	4.0	2.5	2.5	-2.4	5.4	3.9	3.2	2.9
HOUSING MARKET													
Housing Starts (units, thous)	1,421	1,371	1,357	1,286	1,322	1,401	1,354	1,346	1,328	1,280	1,290	1,280	1,292
New Home Sales (units, thous)	665	685	672	670	644	655	665	688	680	690	690	662	638
Existing Home Sales (units, thous)	4,103	4,067	4,076	4,212	4,375	4,087	4,013	4,047	4,157	4,169	4,189	4,223	4,267
Case-Shiller Home Prices (%yoy)*	5.3	3.8	0.6	0.7	2.2	3.9	2.4	1.5	0.6	0.3	0.8	0.7	0.7
INFLATION (% ch, yr/yr)													
Consumer Price Index (CPI)**	3.3	2.9	2.7	2.6	2.2	2.7	2.5	2.9	2.7	2.7	3.3	2.6	2.6
Core CPI **	3.9	3.2	2.6	2.3	2.2	3.1	2.8	3.1	2.7	2.5	2.7	2.4	2.3
Core PCE** †	3.1	3.0	3.0	2.6	2.0	2.8	2.7	2.9	2.9	3.0	3.1	2.9	2.7
LABOR MARKET													
Unemployment Rate (%)^	3.8	4.1	4.4	4.6	4.4	4.2	4.1	4.4	4.4	4.3	4.5	4.6	4.6
U6 Underemployment Rate (%)^	7.2	7.6	8.4	8.7	8.3	7.9	7.7	8.1	8.4	8.0	8.4	8.6	8.7
Payrolls (thous, monthly rate)	210	122	10	40	92	20	34	23	-39	68	20	27	47
Employment-Population Ratio (%)^	60.1	59.9	59.7	58.9	58.9	59.9	59.7	59.7	59.7	59.2	59.1	59.0	58.9
Labor Force Participation Rate (%)^	62.5	62.5	62.4	61.8	61.6	62.5	62.3	62.5	62.4	61.9	61.9	61.8	61.8
Average Hourly Earnings (%yoy)	4.2	5.4	4.6	4.0	3.9	5.0	4.6	4.5	4.4	4.2	4.1	3.9	3.8
GOVERNMENT FINANCE													
Federal Budget (FY, \$bn)	-1,694	-1,833	-1,775	-2,050	-2,200	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS													
FF Target Range (Bottom-Top, %)^	5.25-5.5	4.25-4.5	3.5-3.75	3-3.25	3-3.25	4.25-4.5	4.25-4.5	4-4.25	3.5-3.75	3.5-3.75	3.5-3.75	3.25-3.5	3-3.25
10-Year Treasury Note^	3.88	4.58	4.18	4.20	4.25	4.23	4.24	4.16	4.18	4.30	4.20	4.20	4.20
Euro (€/€)^	1.11	1.04	1.17	1.19	1.20	1.08	1.18	1.17	1.17	1.15	1.14	1.18	1.19
Yen (\$/¥)^	141	157	157	155	141	150	144	148	157	160	160	158	155

* Weighted average of metro-level HPis for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.

** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.

† PCE = Personal consumption expenditures. ^ Denotes end of period.

Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

The US Economics Team

Jan Hatzius

+1(212)902-0394
jan.hatzius@gs.com
Goldman Sachs & Co. LLC

Alec Phillips

+1(202)637-3746
alec.phillips@gs.com
Goldman Sachs & Co. LLC

David Mericle

+1(212)357-2619
david.mericle@gs.com
Goldman Sachs & Co. LLC

Ronnie Walker

+1(917)343-4543
ronnie.walker@gs.com
Goldman Sachs & Co. LLC

Manuel Abecasis

+1(212)902-8357
manuel.abecasis@gs.com
Goldman Sachs & Co. LLC

Elsie Peng

+1(212)357-3137
elsie.peng@gs.com
Goldman Sachs & Co. LLC

Pierfrancesco Mei

+1(212)902-8809
pierfrancesco.mei@gs.com
Goldman Sachs & Co. LLC

Jessica Rindels

+1(972)368-1516
jessica.rindels@gs.com
Goldman Sachs & Co. LLC

Disclosure Appendix

Reg AC

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Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Jessica Rindels Goldman Sachs & Co. LLC, David Mericle Goldman Sachs & Co. LLC.

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